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Japan Chemicals

Implications from results at 10 overseas companies

CITI'S TAKE

We believe an understanding of trends in downstream industries is important for considering demand trends in the upstream chemicals industry. We provide an overview by sector of nine overseas companies that have reported result through July 24.

Semiconductors (front-end) — Semiconductor demand is extremely strong, and companies expect strong demand to continue for several years. We see positive implications for semiconductor material companies.

Data centers (CSPs) — Alphabet is expanding capex further. However, we note pressure on free cash flow from aggressive investment. We see positive near-term implications for semiconductor material companies, mainly AI-related companies such as Nittobo and JX Advanced Metals.

Housing (US) — US housing demand remains weak. We think implications are in line with expectations for Shin-Etsu Chemical and Nippon Paint Holdings (AOC).

Life sciences — We think healthy CDMO demand from both major pharmaceutical makers and midsize biotech companies is reassuring for companies that provide CDMO services, including AGC and Nitto Denko.

Paint — As it appears that companies are passing through higher costs and pricing strategies have not dampened demand, we think results were reassuring for Kansai Paint and Nippon Paint Holdings. However, we take note at Nippon Paint that the Chinese market appears weak.

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Semiconductors (front-end)

Micron (June 25): Demand remains well above supply for both DRAM and NAND. Micron expects supply shortages to continue from 2027. Multi-year strategic customer agreements include floor prices and take-or-pay clauses that increase earnings stability.

ASML (July 15): Jan-Mar sales were above the top of the guidance range. Demand from semiconductor makers is extremely strong, mainly for advanced logic and DRAM. ASML raised full-year sales guidance from €36bn-€40bn to €43bn-€45bn. It plans to increase low NA EUV production capacity by 30% in both 2027 and 2028 (outlook for 65 units in 2026, 85 units in 2027, and 110 units in 2028). High NA EUV is also favorable, with Intel 18A adoption progressing.

TSMC (July 16): Sales grew 12% from Jan-Mar to Apr-Jun (USD basis). AI-related demand is extremely strong, and TSMC forecasts sales to rise 12% from Apr-Jun to Jul-Sep. It raised full-year sales guidance from +30% or more YoY to over +40% YoY. The supply/demand gap is very large. TSMC increased inventory from 80 days at end-March to 87 days at end-June to prepare for the 2nm launch.

Intel (July 23): Sales grew 19% from Jan-Mar to Apr-Jun. Client computing group (PC) sales grew 15%, outpacing guidance despite component constraints. Data center and AI sales grew 24%, well above guidance on strong demand from hyperscalers. Intel 7 and Intel 18A volume exceeded internal company targets on higher wafer input volume and improved yields.

Implications for coverage companies: Semiconductor demand is extremely strong, and companies expect strong demand to continue for several years. We see positive implications for semiconductor material companies.

Data centers (e.g., CSPs)

Alphabet (July 22): Google Cloud sales grew 82% YoY in Apr-Jun, accelerating from growth of 63% in Jan-Mar. Capex was \$34.9bn in Jul-Sep, \$37.5bn in Oct-Dec, \$31.9bn in Jan-Mar, and \$44.9bn in Apr-Jun. Alphabet raised 2026 capex guidance from \$180bn-\$190bn to \$195bn-\$205bn. It expects capex in 2027 to rise sharply from 2026. Free cash flow was -\$5.9bn in Apr-Jun. Investment is likely pressure free cash flow for the time being.

Implications for coverage companies: Alphabet is expanding capex further. However, we note pressure on free cash flow from aggressive investment. We see positive near-term implications for semiconductor material companies, mainly AI-related companies such as Nittobo and JX Advanced Metals.

Housing (US)

Lennar (June 13): New orders fell 4% YoY to 21,700 homes in Mar-May (guidance 21,000-22,000 homes; consensus 21,600 homes). Lennar guides for new orders of 21,000-22,000 homes in Jun-Aug (consensus 22,600 homes). Although there is a structural housing shortage, affordability remains an issue due to persistently high interest rates.

D.R. Horton (July 21): New orders held flat YoY at 23,000 homes in Apr-Jun, missing the consensus for 24,200 homes. D.R. Horton lowered FY9/26 homes closed guidance from 86,000-87,500 homes to 83,800-84,300 homes, below the

consensus for 86,600 homes. Results were weak compared with seasonal norms (Apr-Jun is typically a high demand period due to spring demand). Homebuyers are showing a cautious stance due to higher interest rates and geopolitical uncertainty.

PulteGroup (July 22): New orders grew 6% YoY to 7,500 homes in Apr-Jun (consensus 7,400 homes). PulteGroup maintained full-year homes closed guidance for 28,500-29,000 homes. The market environment remains challenging, but there are signs of demand stabilizing in some states such as Florida.

Implications for coverage companies: US housing demand remains weak. We think implications are in line with expectations for Shin-Etsu Chemical and Nippon Paint Holdings (AOC).

Life sciences

Lonza (July 22): Sales grew 16% YoY in Jan-Jun 2026 (local currency basis). Mammalian CDMO demand continues to outpace supply. Manufacturing outsourcing demand remains healthy from both major pharmaceutical makers and midsize biotech companies (wide range of demand from early clinical stage to commercial drugs). Lonza maintained FY12/26 guidance for sales to grow 11-12% (local currency basis).

Implications for coverage companies: We think healthy CDMO demand from both major pharmaceutical makers and midsize biotech companies is reassuring for companies that provide CDMO services, including AGC and Nitto Denko.

Paint

Akzo Nobel (July 22): Organic sales grew 2% YoY in Apr-Jun. This breaks down as volume flat, pricing +3%, and mix -1%. For volume trends by region and category (YoY), Europe decorative paints fell in low single digits (%) in Jan-Mar and in mid single digits (%) in Apr-Jun, Southeast Asia decorative paints rose in high single digits (%) in Jan-Mar and in mid single digits (%) in Apr-Jun, China decorative paints rose in mid single digits (%) in Jan-Mar but fell in mid single digits (%) in Apr-Jun, and industrial coatings fell in low single digits (%) in Jan-Mar but rose in low single digits (%) in Apr-Jun. Akzo Nobel guides for companywide volume to hold generally flat YoY in Jul-Sep. For Europe decorative paints, it forecasts weak volume in Western Europe but strong volume in Southern Europe. It forecasts Southeast Asia decorative paints to remain strong, driven by Vietnam and Indonesia. China decorative paints decreased in Apr-Jun but outperformed the market. Akzo Nobel expects raw material prices to rise at the 10% level in 2026 H2 due to the Middle East conflict, but because price revisions announced and implemented in Apr-Jun should fully contribute from Jul-Sep, it expects to fully offset the impact of higher raw material prices. Despite aggressive pricing, demand does not appear to have fallen at present.

Implications for coverage companies: As it appears that companies are passing through higher costs and pricing strategies have not dampened demand, we think results were reassuring for Kansai Paint and Nippon Paint Holdings. However, we take note at Nippon Paint that the Chinese market appears weak.

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